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US Economic Update: July 27, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q2 2026 (%)	17-Jul-26	16-Jul-26	15-Jul-26	14-Jul-26	13-Jul-26	9-Jul-26
	1.7	1.7	1.4	1.4	1.3	1.3

US administration imposed new tariffs on 60 countries

- On July 24, the US administration imposed a new set of tariffs on 60 major trading partners under Section 301 of the Trade Act of 1974. The move aims to pressure trading partners to strengthen prohibitions on imports produced with forced labor. The new measures replace the interim 10% universal tariffs that were implemented following the US Supreme Court's ruling against the administration's reciprocal tariffs. According to the Yale Budget Lab, the new regime raises the US effective average tariff rate to 11.1%. Although this is below the peak of 2025, it remains much above any level seen since the 1930s.

  Countries deemed to have made meaningful progress in preventing forced-labor imports, including the European Union, India, and the United Kingdom, will be subject to a 10% tariff. Economies considered to have made insufficient progress, including China, Japan, and South Korea, face a 12.5% tariff. Canada and Mexico remain exempt for goods covered under the USMCA, with the new tariffs applying only to non-USMCA imports. In addition, several products, including oil, natural gas, fertilizers, and certain agricultural products, are exempt from the new duties.
- The United States and Iran paused military strikes over the weekend to facilitate renewed Omani-mediated diplomatic efforts. This followed nearly two weeks of escalating hostilities, marked by Iranian attacks on commercial shipping in the Strait of Hormuz, strikes by the Houthis in the Red Sea, and US airstrikes targeting Iranian military infrastructure. The disruption to key energy shipping routes briefly pushed Brent crude above US$100 per barrel last week as investors priced in the risk of prolonged supply disruptions. However, signs of de-escalation pushed Brent down to around US$89 per barrel by Monday. Financial markets also rebounded across Asia and Europe on July 27, while S&P 500 futures rose about 1%.
- Initial claims for unemployment insurance fell by 22,000 to 187,000 in the week ending July 18, the lowest level since 1969. The four-week moving average also declined by 7,250 to 207,500, underscoring the resilience of the US labor market and reinforcing expectations that the Federal Reserve will keep its focus on inflation at its next policy meeting.

Figure 1. Energy prices remain sensitive to Middle East tensions, with Brent crude near US$89 per barrel

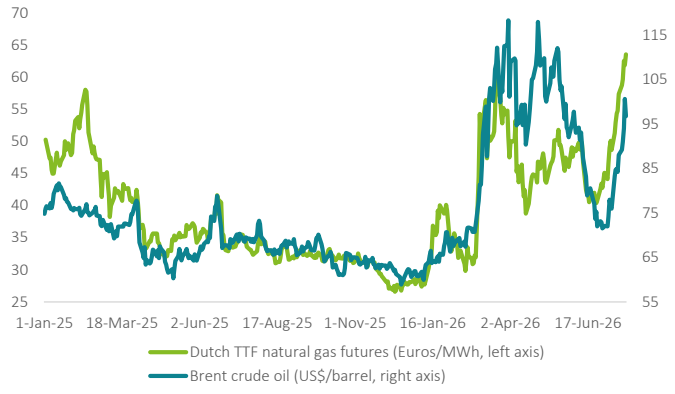
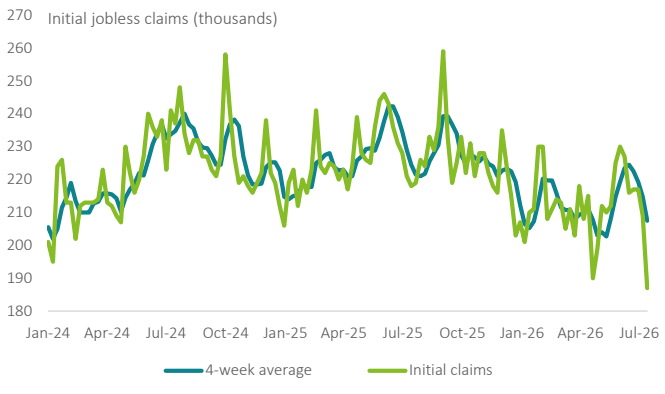


Figure 2. Initial claims for unemployment insurance fell to 187,000 in the week ending July 18, the lowest level since 1969



Sources: Haver Analytics; Deloitte analysis.

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Dashboard of key indicators

Real economy

Total nonfarm payrolls

Jun change	3-month avg ch	12-month avg ch	Trend
57,000	111,000	42,000	

Unemployment rate

Jun value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.2	-0.1	-0.1	

Real disposable personal income

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	-0.4	0.0	

Real personal consumer expenditure

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.5	2.1	

Nominal retail sales

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	1.9	6.7	

Conference Board consumer confidence index

Jun value	1-month ch	3-month ch	Trend
91.2	0.6	-1.0	

Housing permits

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-3.0	0.3	-2.3	

Manufacturing industrial production

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.1	0.8	1.1	

Shipments of core capital goods

May growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	2.0	7.6	

Trade balance

May value (US$ billion)	1-month ch	3-month ch	Trend
-77.6	-23.0	-22.6	

Real GDP

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
2.1	0.5	2.7	

Corporate profits

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
7.0	26.3	12.8	

Financial markets

Equity markets

S&P 500 on Jul 24	1-week ch (%)	1-year ch (%)	Trend
7412.0	-0.6	16.0	

Treasury yield spread (10 yr - 2 yr)

Spread on Jul 24	1-month ch(ppts)	3-month ch(ppts)	Trend
0.36	0.02	-0.1	

CBOE volatility index (VIX)

VIX on Jul 24	1-week ch	4-week ch	Trend
18.6	-0.2	-0.3	

Kansas City Fed financial stress index (KCFSI)

Jun index	1-month ch	3-month ch	Trend
-0.8	0.1	-0.2	

Inflation

Consumer price index (CPI)

Jun change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.4	0.7	3.5	

Core CPI (CPI excluding food and energy)

Jun change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.0	0.6	2.6	

Core PCE (PCE price index excluding food and energy)

May change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.9	3.4	

Philadelphia Fed 10-year ahead inflation expectations

Q2 2026 (%, YoY)	Q1 2026	Q2 2025	Trend
2.4	2.3	2.4	

Sources: Haver Analytics; Deloitte analysis.